

Module 8

Principles of Auditing

Answers

The suggested answers are longer than what candidates are expected to give in the examination. The purpose of the suggested answers is meant to help candidates in their revision and learning. The suggested answers may not contain all the correct points and candidates should note that credit will be awarded for valid answers which may not fully covered in the suggested answers.

SECTION B – WRITTEN QUESTIONS (Total: 80 marks)

Answer 1(a)

The matters that should be considered by ABC & Co for the acceptance of a new client:

The integrity of the principal owners, key management and those charged with governance of the entity;

The competency of the audit firm to perform the audit;

Engagement team has the necessary capabilities, time and resources to perform the audit;

Whether the firm and the engagement team can comply with ethical requirements;

Any illegal activities undertaken by the new client that are aware of; and

Whether ABC & Co can communicate with the outgoing auditors.

Answer 1(b)

According to HKSA 260 (Revised) *Communication with those charged with governance*, the objectives of the auditor to communicate with those charged with governance are:

To communicate clearly with those charged with governance; the responsibilities of the auditor in relation to the financial statement audit; and an overview of the planned scope and timing of the audit;

To obtain from those charged with governance information relevant to the audit;

To provide those charged with governance with timely observations arising from the audit that are significant and relevant to their responsibility to oversee the financial reporting process; and

To promote effective two-way communication between the auditor and those charged with governance.

Answer 1(c)

The external audit function serves as a component of corporate governance.

The external audit is performed by external auditors as an independent assurance provider to express an opinion on a fair presentation of financial statements in conformity with generally accepted accounting principles.

The external audit function is regarded as an external corporate governance mechanism. It serves to protect investors from receiving incomplete, inaccurate and misleading financial information.

The external audit function is intended to lend credibility to financial reports and reduce information risk that financial reports are biased, misleading, inaccurate, incomplete and contain material misstatements that were not prevented or detected by the internal control system.

Answer 1(d)

Adequate audit planning benefits the audit of financial statements in several ways, including:

Helping the auditor to devote appropriate attention to important areas of the audit;

Helping the auditor to identify and resolve potential problems on a timely basis;

Helping the auditor to organise and manage the audit engagement properly so that it is performed in an effective and efficient manner;

Assisting in the selection of engagement team members with appropriate levels of capabilities and competence to respond to anticipated risks, and the proper assignment of work to them;

Facilitating the direction and supervision of engagement team members and the review of their work; and

Assisting, where applicable, in coordination of work done by auditors of components and experts.

Answer 1(e)

The aspects of the entity and its environment that an auditor should obtain an initial understanding when performing risk assessment procedures are as follows:

The entity's organisational structure, ownership and governance, and its business model, including the extent to which the business model integrates the use of IT.

Industry, regulatory and other external factors.

The measures used, internally and externally, to assess the entity's financial performance.

The way the entity is financed.

The entity's selection and application of accounting policies.

The entity's objectives and strategies, and those related business risks that may result in risks of material misstatement.

Answer 2(a)

Accounting identifies, records and summarises an organisation's economic transactions for preparing the financial statements. It is the management's responsibility for the preparation of the financial statements.

External auditing is one of the most common and prominent forms of independent assurance engagements. An external auditor is independent of the entity being audited and appointed to express an opinion on the entity's financial statements.

Answer 2(b)

The contractual elements that are typically included in an engagement letter are as follows:

The objective and scope of the audit of the financial statements.

The responsibilities of the auditor.

The responsibilities of management.

Identification of the applicable financial reporting framework for the preparation of the financial statements.

Reference to the expected form and content of any reports to be issued by the auditor.

A statement that there may be circumstances in which a report may differ from its expected form and content.

Timing, name of engagement partner, fee, billing arrangement.

Answer 2(c)

The risk to auditors where tests of control are concerned is that the controls are either more or less effective than they actually are, because the rate of errors in the sample is not the same as the actual rate of errors in the population.

Sampling risk affects tests of control because the wrong conclusion over the operating effectiveness of controls could lead the auditor to rely too heavily on controls, hence may fail to detect a material misstatement.

Or, the auditor could place less reliance on internal controls, which results in more substantive procedures having to be applied, and hence audit inefficiencies due to more work having to be performed.

Answer 2(d)

Sampling risk in the case of test of details is the risk that auditor's sample from a population is not representative.

If the sample size is smaller, the sample risk that auditor fails to detect a material misstatement is higher.

Conversely if the auditor has concluded that a material misstatement exists and hence requires a larger sample size to be tested. The auditor is carrying out more test of details procedures which increases time spend on the audit.

Answer 2(e)

Non-sampling risk is the risk that the auditor reaches an erroneous conclusion for any reason not related to sampling risk, such as the application of inappropriate audit procedures or the failure to recognise the misstatement or deviation.

Non-sampling risk can also arise by the auditor misinterpreting the audit evidence obtained.

Answer 3(a)

The three types of audit approaches:

Tests of controls

Combined approach

Substantive procedures

Tests of controls approach: The auditor relies on the internal control of the system. The auditor performs test of control procedures to evaluate the operating effectiveness of controls in preventing, detecting and correcting material statements at the assertion level.

Combined approach: For this approach, the auditor also relies on the internal control of the system. However, the auditor not only performs test of control procedures but also test of details procedures and substantive analytical procedures.

Substantive procedures approach. The auditor does not rely on the internal control system. Only test of details of transactions and substantive analytical procedures will be performed.

Answer 3(b)

The substantive audit procedures for rental income are as follows:

Obtain a list of rental income and agreed the amount of the rental income from the list to the trial balance and general ledger.

Check the calculation and casting of the list of rental income.

Check the monthly income of each property against the corresponding rental agreement.

For vacancy periods, confirm with the management and seek a written representation if necessary.

Perform analytical procedures by comparing this year's rental income with prior year, by taking into account the additions and disposals of investment properties in the two years. Estimate the rental income for the year by using the fixed amount of monthly rental as per the rental agreements and the number of months the properties occupied by the tenants during the year to assess the reasonableness of the recorded amount.

Consider the proper allocation of rental income over the lease term if there is a rent-free period.

Test check cash receipts with bank statements.

For early termination of a rental agreement, check against the termination agreement.

Answer 3(c)

The substantive audit procedures for the mortgage interest expenses are as follows:

Obtain the mortgage loans schedule from HKL.

Check casting and agree the total interest expenses with the trial balance and general ledger.

Agree details of mortgage loans recorded against the loan agreements and loan statements.

Send bank confirmations regarding these mortgage loans.

Agree mortgage loan interest rates against the loan agreements.

Calculate the interest expenses and test check interest expenses against bank statements.

Develop expectations for the mortgage interest expenses and compare the expected amount with the actual amount.

Answer 3(d)

The substantive audit procedures for the existence and rights and obligations of investment properties are as follows:

Obtain a list of investment properties, check casting and agree the totals with the trial balance and financial statements.

Perform substantive analytical procedures such as comparing this year's account balance with prior year by taking into account the total rental income of the investment properties for both years.

For additions, check the purchase agreement and minutes for proper authorisation.

Inspect the title deeds.

Perform a physical inspection of the properties.

Perform a land search.

Send confirmation to banks if the title deeds are pledged with banks.

Answer 4(a)

Key audit matters – Those matters that, in the auditor's professional judgment, were of most significance in the audit of the financial statements of the current period. Key audit matters are selected from matters communicated with those charged with governance.

Answer 4(b)

The purpose of including key audit matters is to enhance the communicative value of the auditor's report by providing greater transparency about the audit that was performed.

Communicating key audit matters provides additional information to intended users of the financial statements ("intended users") to assist them in understanding those matters that, in the auditor's professional judgment, were of most significance in the audit of the financial statements of the current period.

Communicating key audit matters may also assist intended users in understanding the entity and areas of significant management judgment in the audited financial statements.

Answer 4(c)

The inherent risk of accounts receivable is overvaluation of the balance and overstatement of the profit for the year due to underestimation of the expected credit loss.

Answer 4(d)

If the misstatement is material and not pervasive, a qualified opinion will be expressed.

If the misstatement is material and pervasive, an adverse opinion will be expressed.

* * * **END OF EXAMINATION PAPER** * * *